

Work Order and Change Order Process

Loblolly Ridge Therapeutics | Outsourcing & Procurement with Finance and Legal | 2026-03-02 | v1.3

How a scope of work becomes a signed work order or change order at Loblolly Ridge: who asks, who prices, who checks, who approves at which value, and what is filed before work starts. Owned by Outsourcing & Procurement with Finance and Legal. Version 1.3.

When this process applies

Use it for every new work order with a qualified partner, every change order that adds scope, time or money, and every SOW amendment that changes rates or timelines. Purchases of goods and catalog services go through purchase orders in the finance system instead.

What the requester provides

- A scope request from the program owner: objective, deliverables, timeline and the project and budget line it will be charged to.
- For clinical work, the estimated pass-through costs (site fees, investigator payments, patient reimbursement) as well as services.
- For GxP work, confirmation from QA that the partner is qualified and a quality agreement is in place.

Roles

- Program owner – writes the scope, reviews the partner's proposal, confirms the work is needed.
- Outsourcing & Procurement – checks rates against the master agreement and benchmarks, tightens scope and negotiates.
- Finance – checks the amount against the approved budget and the reforecast, and sets up the accrual method.
- Legal – reviews terms and the transfer of obligations for clinical work.
- Approver – signs at the level set by the total value.

Approval thresholds

Approval is set by the total value including estimated pass-through, not by the services value alone: directors up to \$250,000; CFO from \$250,000 to \$1 million; CEO from \$1 million to \$5 million; board \$5 million or more.

Separately, any commitment of \$5 million or more that is not in the approved budget needs board approval under the stage-gate procedure.

Steps and handoffs

1. Program owner submits the scope request to Outsourcing & Procurement.
2. The partner prices the scope.
3. Outsourcing & Procurement reviews rates and scope and returns questions to the partner.
4. Finance confirms budget cover or flags the variance for the reforecast.
5. Legal reviews the document.
6. The approver signs at the threshold level; the partner countersigns.
7. Outsourcing & Procurement files the signed document in the contract repository and updates the work order register before work starts.

Exceptions

Urgent scope may start under a written authorization for up to 30 days and \$100,000 while the change order is completed. Retroactive change orders, where work started without a signed document or authorization, need CFO sign-off and are reported to the Portfolio Review Committee.

Outputs and records

A signed work order or change order in the contract repository; an updated line in the work order register with committed services, estimated pass-through, status and approval level; and an accrual method set in the finance system: activity reports and milestones for CRO services, CRO visit estimates for pass-through, percentage of completion for GLP studies, batch stage for CDMOs, straight-line for fixed fees.

Deliverables named in the work order are logged on receipt and reviewed by QA, the technical owner or Finance depending on type. The roles above are set out in more detail in the RACI appendix.

Changes in version 1.3

Thresholds restated to include estimated pass-through; the 30-day urgent authorization limit added; retroactive change orders now reported to the Portfolio Review Committee.